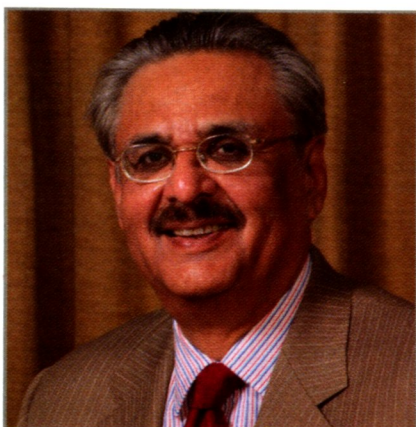




CREATING A SUSTAINABLE AND SECURE FUTURE

The Agro-Forestry Potential

Chairman Y. C. Deveshwar's speech at
ITC's 97th Annual General Meeting, 30th July, 2008

I have great pleasure in welcoming you to the 97th Annual General Meeting of your Company.

As we gather today, I draw immense satisfaction that your Company's unwavering commitment to contribute to the pursuit of a more sustainable future for our nation has earned it a special place of pride amongst the most admired and trusted corporations in the country.

Your Company's robust corporate strategy to create a new portfolio of businesses of the future continues to build a strong foundation to drive new dimensions of growth in the years to come. A relentless mission to build a world-class Indian institution continues to inspire us to achieve leadership and excellence in every business we are engaged in.

I am therefore happy to share with you yet another year of impressive performance across all our businesses, with a healthy topline growth and high quality earnings. This performance is even more satisfying given the impact of the incubation costs of the new FMCG businesses including the recently launched personal care portfolio, the upfront costs of the long term rural marketing initiatives, the gestation costs of fresh investments in several of our businesses and a severe tax regime.

FINANCIAL PERFORMANCE

Gross Turnover for the year grew by 10.7% to Rs. 21,355.94 crores. **Net Turnover at Rs. 13,947.53 crores** grew by 14.7% driven by a robust 48.6% growth in the non-cigarette FMCG businesses, and a healthy performance by the Hotels and Paperboards, Paper & Packaging segments. **The non-cigarette portfolio now accounts for 52.4% of the Company's Net Turnover.** Pre-tax profits increased by 16.4% to Rs. 4571.77 crores, while **Post-tax profit at Rs. 3120.10 crores** registered a growth of 15.6%. As is customary, I also share a snapshot of your Company's financial performance since 1996.

ITC : Financial Highlights 1996-2008

	1996	2008
Gross Income	5188	21967
Profit After Tax	261	3120
Return on Average Net Assets (%)	30	38
Net Assets Employed	1886	12817
Net Worth	1121	12058
Market Capitalisation	5571	77765

As at 31st March

The ITC Group's contribution to foreign exchange earnings over the last decade amounts to nearly US \$ 3.2 billion, of which agri exports constitute 60%. Earnings from agri exports are an indicator of your Company's contribution to the rural economy by effectively linking small farmers with international markets.



Over the years, your Company has reinforced its core strengths by building new competencies that efficiently serve the emerging needs of a fast paced economy. Supported by substantial investments in cutting edge technology, outstanding talent, and Research & Development, your Company has created several trusted brands that enhance the quality of life of the discerning consumer. Deep farmer relationships and proven expertise in productivity enhancing agri interventions have added new dimensions to your Company's capability profile. I can say with confidence that your Company has nurtured internal synergies that constitute a world-class competitive force, capable of sustaining its position at the forefront of India's corporate sector.

